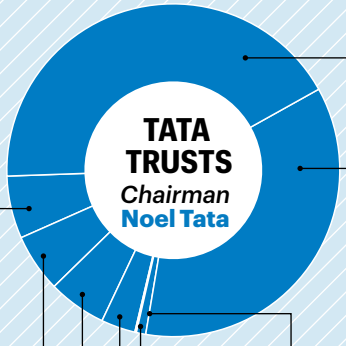
THE POWER OF TATA TRUSTS

Tata Trusts by virtue of their 65.9% shareholding in Tata Sons...



JRD Tata Trust **4.01%**

Tata Education Trust **3.73%**

R.D. Tata Trust **2.19%**

Tata Social Welfare Trust **3.73%**

MK Tata Trust **0.6%**

Sarvajanik Seva Trust **0.1%**

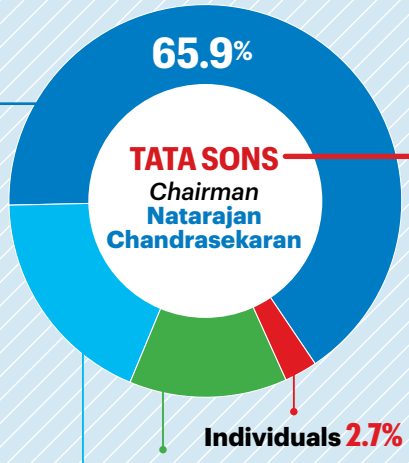
SIR DORABJI TATA TRUST 27.98%

Trustees
Noel Tata
Venu Srinivasan
Vijay Singh, *ex-bureaucrat*
Darius Khambata, *lawyer*
Neville N. Tata, *Noel's son; director at Trent*
Bhaskar Bhat, *ex-MD, Titan*

SIR RATAN TATA TRUST 23.56%

Trustees
Noel Tata
Venu Srinivasan
Jimmy N. Tata
Ratan's younger brother
Jehangir H.C. Jehangir
Businessman
Darius Khambata, *lawyer*

...exercises influence over board decisions...



Individuals 2.7%

Tata companies & operating units 13%

Shapoorji Pallonji Group 18.4%

THE BIG FIGHT

How a leadership dispute at Tata Sons escalated into a public slugfest

THE GENESIS

- At a Tata Sons board meeting on Aug. 12, chairman N. Chandrasekaran announces his decision not to continue beyond his second term, ending in Feb. 2027, mainly because Tata Trusts chairman Noel Tata has questioned his continuance
- On Sept. 11, the RBI rejects Tata Sons' application to surrender its status as a non-banking financial company. This effectively means that it has to become a publicly listed company. Noel is opposed to it
- On Sept. 17, at a Tata Sons board meeting, two issues are on the agenda: the listing of Tata Sons and Chandrasekaran's continuance as chairman

THE U-TURN

- Venu Srinivasan, the other Tata Trusts nominee on the Tata Sons board, does a U-turn and backs Chandra's continuance. He also supports the listing, as do all other board members except Noel

Curiously enough, the RBI did not insist on a public listing, but many saw it as inevitable, with business analysts arguing that it would bring greater accountability and transparency to the 158-year-old conglomerate, which spans automotive, defence, software, chemicals, steel, retail, financial services and hospitality.

Cameras blinked as the tall figure of 68-year-old Noel entered the building, carrying a folder containing three crucial documents that would later make him the sole dissenting voice among the six board members. One was a note on the Trusts' position on the listing of Tata Sons and why the company would be better off without going public. The other was on why Chandra should not be allowed a third term. The third was a lengthy legal opinion from former Chief Justice of India D.Y. Chandrachud on the need for an 'affirmative vote' of the two nominee directors from the Trusts (Noel and Srinivasan) for any Tata Sons board resolution to become valid, as per its Articles of Association (AoA). That affirmative vote, as it turns out, would become the central point of contention as the two sides braced for what could

THE NEED FOR AN 'AFFIRMATIVE VOTE' OF THE TWO TATA TRUSTS NOMINEE DIRECTORS FOR ANY TATA SONS BOARD RESOLUTION TO BE VALID IS THE CENTRAL POINT OF CONTENTION